

The Part You Actually Practise

The first guide covered why normal thinking loses. This one is the work. **Rehearsal, size, and a journal that records what you were thinking rather than what you paid.**

01 Rehearsal

Knowing to water the growing plant changes nothing at the moment your hand reaches for the dying one. **Hougaard's answer is to practise the moment before it arrives.**

- **Rehearse the trade you have not taken yet.** Picture the position going against you, and picture yourself sitting still. Athletes have done this for fifty years and traders almost never do.
- **Decide the exit before the entry.** A decision made while flat is made by a different person than the one holding a losing position.
- **Watch the size that changes you.** Find the number where your behaviour shifts, then work at the edge of it deliberately rather than stumbling past it by accident.
- **Press the winner on purpose.** Adding to a position that is working is uncomfortable precisely because it is correct. Comfort is not the signal.

02 The journal

Most traders keep a journal of trades. **Hougaard keeps one of thoughts.** A record of entries and exits tells you what happened. A record of what you were thinking tells you why, and only the why is fixable.

- **Write the sentence in your head, not the ticket.** "This has to come back" and "I am not letting this one get away" are the data. The fill price is not.
- **Look for the sentence that repeats.** One bad thought on one day is noise. The same thought on nine days is your actual system.
- **Separate the setup from the conduct.** A good setup traded badly and a bad setup traded well look identical in a profit column and are opposite events.
- **Judge the process on many trades, never on one.** A single outcome carries almost no information about the decision that produced it.

THE DRILL

If your journal only holds prices, it can tell you that you lost. A journal of thoughts can tell you which sentence costs you money, and a sentence you can name is a sentence you can catch.

SOURCES & NOTE

Sources: Tom Hougaard, Best Loser Wins, Harriman House 2021, publisher and reviewer summaries; tradertom.com resource pages; Hougaard YouTube talks including Q7nKecU-7sE.

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